cleaner and real GDP… There is greater integration of informal economy taking place with formal economy that leads to larger and cleaner GDP, that was our objective behind the decision on demonetization.'

Other goals stated by senior officials

To lower interest rates by forcing 'idle' savings into the banking system On 7 December 2016, the Secretary, Economic Affairs, Shaktikanta Das, said, 'Demonetization had been carried out to force Indians to put domestic savings lying idle at home into the banking system, so that banks can use that money to give loans at lower interest rates.'

To bring down real estate prices The first time lower real estate prices was stated as being one of the goals of demonetization was reported on 31 January 2017. The Chief Economic Advisor (CEA), Arvind Subramanian, said, 'Real estate you do see a blip in prices, sales and launches and of course some of it may be adverse to the economy but in the long, some of that could be good, because aim of the demonetization is to bring down real estate prices.'

So how are these eight demonetization goals to be judged? The Demonetization Report Card below presents objective data on each.

Flushing Out Black Money

Of the many problems associated with black money in India, a major one is estimating how much there is!

In a written reply tabled in the Parliament in December 2016, the Finance Minister admitted, 'There is no official estimation of the amount of black money either before or after the government's decision of 8 November 2016…' Naturally this should make it difficult to judge how successful, or otherwise, demonetization was or could have been.